

3 - Corporate Social Responsibility (shortened lessons as very recently examined)



Learning Outcome

By the end of the lesson you will be able to explain and evaluate the role of Corporate Social Responsibility (CSR) in business

To Know



- I know how to define Corporate Social Responsibility (CSR) and explain its core principles.
- I know how to describe how businesses implement CSR in areas like the environment, employees, and the community.
- I know real-world examples of companies demonstrating CSR.
- I know how CSR affects different stakeholders (e.g. customers, employees, shareholders).
- I know the advantages (e.g. improved reputation, customer loyalty) and disadvantages (e.g. increased costs, possible greenwashing) of CSR for businesses.



Corporate Social Responsibility (CSR) aims to ensure that companies conduct their business in a way that is **ethical** (i.e. adopt the stakeholder approach).

This means taking account of their social, economic and environmental impact, and consideration of human rights.

It can involve a range of activities such as:

- Working in partnership with local communities
- Developing strong relationships with employees, suppliers and customers
- Environmental protection and sustainability

Some businesses have as their main purpose the fulfilment of social or environmental goals, as opposed to a business that tries to achieve its financial goals while minimising any negative impact on society or the environment. These businesses are called Social Enterprises.



Profit or social responsibility?

Cadbury used to be committed to using Fairtrade cocoa beans to produce its chocolate. Fairtrade meant that up to 200 000 cocoa farmers in countries, such as Ghana and Ivory Coast, earned a minimum of £1 600 per tonne of cocoa sold. In November 2016, Cadbury switched to a new cocoa production partnership known as Cocoa Life, which does not apply the same price rules and does not guarantee other ingredients, such as nuts, sugar or raisins, are responsibly sourced.

Raisins had been the dry fruit of choice in a Fruit & Nut bar for 90 years. At the end of 2015, sultanas were added 'to give more variation'. Sultanas are cheaper than raisins.

One of the benefits of working for Cadbury was that you were looked after in retirement. Former employees were given a gift of chocolates at Christmas. Mondelez International scrapped the gifts, claiming it needed to save money to help plug the company's pension deficit.

By contrast, Mondelez International has recently taken steps to be more socially responsible – such as pledging that all its standard-sized 'single-serving' chocolate bars would contain less than 250 calories by the end of 2015. This was in response to the UK government's voluntary anti-obesity policies.

Assess the likely value of Corporate Social Responsibility to a business, such as Cadbury (12)

Define Key term:	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One ... is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S	In addition another ... is....because.... Consequently/This means/This will lead to...

WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Conclusion:	Overall, (Directly answer the question asked) This is because... (at least TWO of the following) However, success will depend upon... In the short term/In the long term... It is recommended that ...